The Company

An aspect not necessarily examined during an analysis of fundamentals is the company. This is because the company is one's perception of the state of a company — it cannot necessarily be supported by hard facts and figures. A company may have made losses consecutively for two years or more and one may not wish to touch its shares — yet it may be a good company and worth purchasing into. There are several factors one should look at.

One of the key factors to ascertain is how a company is perceived by its competitors. Is it held in high regard? The Oscar is Hollywood's greatest award, the one most prized by the stars. Why? It is because it represents recognition of an actor / actress by his / her peers. A company held in scorn by a competitor is not worth looking at. On the other hand, one held in awe must be considered not once but several times. Its products may be far superior. It may be better organized. Its management may be known for its maturity, vision, competence and aggressiveness. The investor must ascertain the reason and then determine whether the reason will continue into the foreseeable future.

Another aspect that should be ascertained is whether the company is the market leader in its products or in its segment When you invest in market leaders, the risk is less. The shares of market leaders do not fall as quickly as those of other companies. There is a magic to their name that would make individuals prefer to buy their products as opposed to others. Let us take a real life example. In the eighties, there was a virtual explosion of consumer goods. There were many television manufacturers. They made similar televisions as almost all parts were imported. However, within a decade only those that were the market leaders survived. The others had died off. If one has to purchase an article and has a choice one would normally buy the better one. This is normal human behaviour and this happens in the market place too. Consequently, the prices of market leaders fall slower than those of others in the same industry.

The policy a company follows is also of imperative importance. What is its plans for growth? What is its vision? Every company has a life. If it is allowed to live a normal life it will grow up to a point and then begin to level out and eventually die. It is at the point of levelling out that it must be